

Submission MICRO1-PS1-SUB02

Question MICRO1-PS1-Q01

work / setup:

1. $33 - 5P = 3 + P \Rightarrow P^* = (33 - 3) / (5 + 1) = 5.00$

2. $Q^* = 33 - 5(5.00) = 8.00$

crossed-out arithmetic: [smudged]

FINAL (maybe): $P^* = 5.00$, $Q^* = 8.00$ plus 1

Question MICRO1-PS1-Q02

work / setup:

1. $\% \Delta Q = -2 / 19.0$

2. $\% \Delta P = 0.0952$

crossed-out arithmetic: [smudged]

FINAL (maybe): elasticity = -1.11; elastic plus 1

Question MICRO1-PS1-Q03

work / setup:

1. Shift the wedge between buyer and seller prices by t.

2. Quantity falls relative to equilibrium.

crossed-out arithmetic: [smudged]

FINAL (maybe): buyer price minus seller price equals tax; quantity falls; deadweight loss increases plus 1

Question MICRO1-PS1-Q04

work / setup:

1. $SMC = PMC + \text{marginal external cost}$, so SMC lies above PMC.

crossed-out arithmetic: [smudged]

FINAL (maybe): social MC above private MC; Pigouvian tax can internalize the external cost plus 1

Question MICRO1-PS1-Q05

work / setup:

1. At the ceiling, Q_d exceeds Q_s .

crossed-out arithmetic: [smudged]

FINAL (maybe): $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units plus 1

Question MICRO1-PS1-Q06

work / setup:

1. $35 - 4P = 3 + P \Rightarrow P^* = (35 - 3) / (4 + 1) = 6.40$

2. $Q^* = 35 - 4(6.40) = 9.40$

crossed-out arithmetic: [smudged]

FINAL (maybe): $P^* = 6.40$, $Q^* = 9.40$ plus 1